COURTNEY CAPITAL

*Private Wealth*

# My Favourite Trading Strategy



# Commodity Channel Index

- Donald Lambert 1980
- Identify new trends or warns of volatility
- Developed to identify cyclical turns in commodities
- CCI measures a current price level vs. an average level over time
- CCI is high when price is above average

# CCI Calculation

- CCI = (Typical Price - 20-period SMA of TP)
  Divided by
  (.015 x Mean Deviation)

- Typical Price (TP) = (High + Low + Close)/3
- Constant = .015

# Commodity Channel Index

- Lambert set the constant at .015 to ensure that approximately 70 to 80 percent of CCI values would fall between -100 and +100.

- The smaller the CCI period (look back period), the smaller the number of values between -100 and +100.

# Commodity Channel Index 20 period




ANGLO AMERICAN

# Commodity Channel Index 40 period




ANGLO AMERICAN

# CCI Interpretation

- A coincidental indicator – surges above 100 show strong price action and could signal the start of an uptrend.

- A leading indicator – overbought or oversold conditions with bullish and bearish divergence.

# CCI - Coincidental









# CCI - leading




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# Stochastic Oscillator

- A momentum indicator developed by George Lane in the 1950's.
- Does NOT follow price or volume.
- Follows SPEED or MOMENTUM of PRICE.
- As a rule, momentum changes direction before price.

# Fast Stochastic

- %K = (Current Close - Lowest Low)

  Divided

  (Highest High - Lowest Low)  X 100

- %D = 3-day SMA of %K  (trigger line)

# Fast Stochastic




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# Slow Stochastic

- Slow %K = Fast %K smoothed with 3-period SMA
- Slow %D = 3-period SMA of Slow %K
- I use 8-period SMA and 4-period SMA of Slow %K

# Slow Stochastic




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# Slow Stochastic Interpretation

- Overbought – above 80
- Oversold – below 20
- Ignore Overbought/Oversold when trending.
- Divergence

# Slow Stochastic Interpretation




HARMONY™

# Slow Stochastic with Trend




SHOPRITE

# Putting it together

- Slow stochastic - 13, 8, 4
- Commodity Channel Index – 20
- Trigger line

# Putting it together




NASPERS

# Putting it together







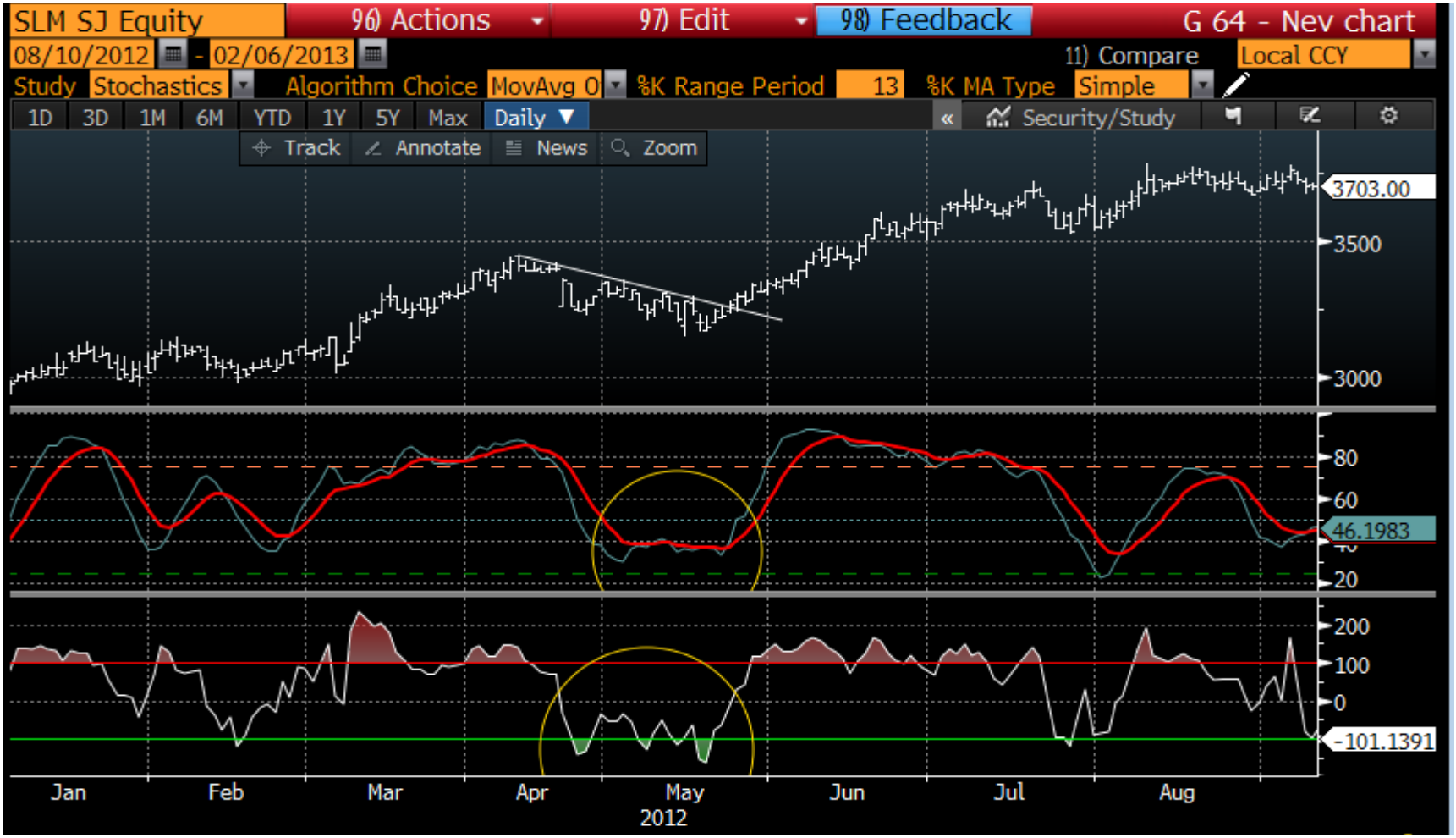


# Putting it together




SAB
The South African Breweries

# Putting it together




Sanlam

# Putting it together




STANDARD &POOR'S 500

# Current Trades




HARMONY™

# Current Trades




BRAIT

# Current Trades




Tiger Brands

# Current Trades



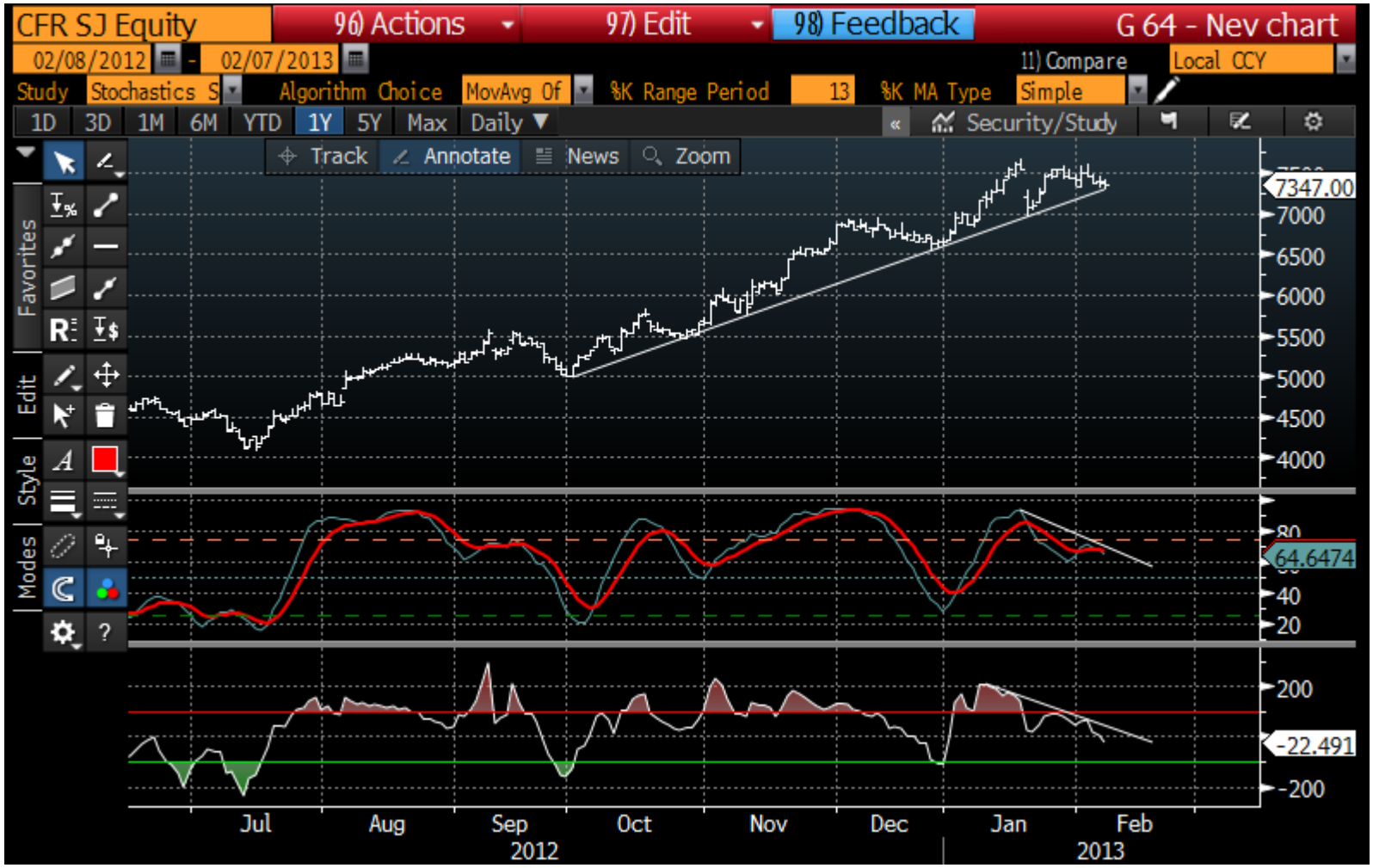

aspen HOLDINGS

# Current Trades




FOSCHINI

# Current Trades




RICHEMONT

# Current Trades



# In closing

Questions and open discussion